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Bernstein Energy & Power: Look no further for defensive growth - our 2026 Outlook, unwrapped

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BERNSTEIN ENERGY & POWER: LOOK NO FURTHER FOR DEFENSIVE GROWTH - OUR 2026 OUTLOOK, UNWRAPPED

Written by Deepa Venkateswaran, Bartek Kubicki & Jorge Alonso

BACKGROUND AND CONTEXT

We published our 2026 Outlook on 11th December 2025 - see Utilities & Clean Energy: 2026 Outlook - Look no further for defensive growth for more details. In this edition of the Blast we summarise the key highlights of the note for a portfolio manager audience.

OVERVIEW

European Utilities have **plenty to offer in 2026**, trading at a ~9% P/E discount to the market but offering a ~7% 3-year EPS CAGR (vs ~11% market) and a ~120bps dividend yield uplift. This follows a 2025 where Utilities were the 2nd best performing sector YTD, following 2 years of prior underperformance. We continue to see **electric networks offering the best risk-adjusted exposure in 2026** through **SSE**, **National Grid**, **Redeia** and **Terna**, but we also see opportunity in Renewables through **EDP and EDPR**, **RWE** & **Engie.** We also like Severn Trent within the UK water sector. Our **least preferred names are merchant power/commodity exposed names** Verbund, Fortum, Solaria, Centrica and Naturgy.

EXHIBIT 1: **Comparative fundamental metrics - Utilities sector vs broader market**

	FY25	FY26	FY27	FY28
Sector P/E	15.2	14.1	13.1	12.3
Market P/E	16.7	15.1	13.6	12.3
Premium/(Discount)	-8.8%	-7.0%	-3.9%	-0.1%
Sector dividend yield	4.2%	4.5%	4.7%	4.9%
Market dividend yield	3.0%	3.3%	3.5%	3.9%
Sector EPS CAGR, FY25E-FY28E	7.0%			
Market EPS CAGR, FY25E-FY28E	10.5%			
Sector DPS CAGR, FY25E-FY28E	5.5%			
Market DPS CAGR, FY25E-FY28E	8.5%			

Bloomberg pricing data as of market close 31 December 2025
Source: Bloomberg, Bernstein analysis and estimates

TOP PICKS

We set out our Top Picks for 2026 in Exhibit 2, with further detail on our views below.

EXHIBIT 2: **BERN European Utilities Top Picks 2026**

Rank	Company	Curr.	Share price	Target price	Rating	% Upside	Category	Theme
1	SSE	GBp	2,179	2,600	Outperform	19.3%	Integrated	Electric Networks
2	National Grid	GBp	1,142	1,300	Outperform	13.9%	Regulated	Electric Networks
3	EDP	EUR	3.92	4.60	Outperform	17.5%	Integrated	Renewables
4	Engie	EUR	22.41	25.10	Outperform	12.0%	Integrated	Renewables
5	Severn Trent	GBp	2,789	3,200	Outperform	14.7%	Regulated	Water Networks
6	RWE	EUR	45.26	50.00	Outperform	10.5%	Renewable	Renewables
7	Redeia	EUR	15.17	18.15	Outperform	19.6%	Regulated	Electric Networks
8	EDPR	EUR	12.04	13.50	Outperform	12.1%	Renewable	Renewables
9	Terna	EUR	9.05	10.00	Outperform	10.4%	Regulated	Electric Networks

Bloomberg pricing data as of market close 31 December 2025
Source: Bloomberg, Bernstein analysis and estimates

- **SSE:** Following the RIIO-T3 Final Determination in early December 2025 and the November 2025 £2bn equity raise, SSE's equity story (SSE: Clear equity story post strategic update & equity raise; we maintain our Outperform rating, raising our Price Target) has taken 2 very significant steps forward over the past 2 months. In our view, the increasingly delivery focussed

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.
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orientation of UK power networks price controls is well-suited to SSE. With over 80% of the 5 year (to FY30) investment plan heading into regulated networks in the UK, we see a company poised for defensive EPS growth of 9% p.a. with high visibility at attractive returns.

- **National Grid:** Alongside SSE, National Grid is a beneficiary of the constructive RIIO-T3 price control Final Determination, which establishes a path to strong growth at attractive returns (we see a clear path to double digit nominal ROEs for high-performing Networks). National Grid also benefits from a US business which we believe to be under-appreciated by the market. See National Grid: A Portfolio Manager's cheat sheet on why to own the stock and National Grid: An open letter to the new CEO

- **EDP:** We reiterate our Outperform rating on EDP (PT €4.6) as the company offers exposure to renewables (of which ~50% related to the US market) while its Iberian hydro assets trade at a low multiple (EV/EBITDA ~6.0x). In addition, earnings growth looks solid when adjusted for the unusually high profits of hydro in 2025 (~8% normalised adj. EPS CAGR over 2025-28e).

- **Engie** should hit the earnings trough in FY26 followed by a 5% yoy EBIT rebound going forward coming from renewable investments and downstream activities supported by strong cash flow generation. We would also underline Engie's exposure to power market volatility coming from its trading as well as flexible power generation capacities. We see upside risks to consensus earnings and dividends expectations. (Engie: Earnings growth will be supported by high FCF-generation capacities).

- **Severn Trent:** We like UK Water utilities (UK Water Utilities: AMP7 recap and much brighter future ahead) as they are entering a growth mega-cycle which should last for the next couple of regulatory periods. That growth will be supported with strong balance sheets, earnings rebound from depressed end-AMP7 levels, as well as a positive regulatory and political momentum. Severn Trent is our top pick within the sub-sector on valuation grounds.

- **RWE:** RWE has in our view been a capital allocation story for the last 2 years, firstly in 2024 to the downside with concerns over speculative development of offshore wind farms without secured off-take, and then in 2025 with growing evidence of improving discipline with a 25% cut to the 2025-30 capex plan and greater prioritisation of share buybacks. We now see an improving picture for industrial investment, particularly in the US, with further buybacks now less likely (European Utilities: RWE - Raising our PT to reflect recent positives). We also see evidence of the market's growing appreciation for the company's Flex-Gen assets. We see key catalysts for early 2026, including the results of the UK's AR7 CFD subsidy auction in mid January and of Germany's upcoming gas tenders by March/April 2026.

- **Redeia:** We recently upgraded Redeia to Outperform (PT €18.15) as market expectations have rebased. We now see a positive risk-reward balance supported by limited downside risk, solid earnings growth (4.1% adj. EPS CAGR over 2025-28e) which is broadly in line with many peers while it is trading at attractive premium to RAB 2026e of 13%.

- **EDPR:** We reiterate our Outperform rating on EDPR (PT €13.5) as it offers high earnings growth (~21% adj. EPS CAGR over 2025-28e) and high visibility in the coming years. The recently presented strategic plan is conservative and offers upside potential mainly from EDPR's US exposure - potential repricing of PPAs at a premium and additional renewable capacity installations.

- **Terna** provides with very good earnings visibility, a c. 8% RAB CAGR until FY30e combined with regulatory upsides. The existing 10y Italian transmission network development plan supports long-term investments in Italy. We also see a room for positive regulatory changes, while the allowed WACC for FY26 has been confirmed (Elia/Redeia/Terna — High-growth, pure-play electricity transmission networks in continental Europe)

LEAST PREFERRED

Our least preferred names are merchant power/commodity exposed names Verbund, Fortum, Solaria, Centrica and Naturgy.

- **Verbund:** While poor hydro conditions have been a drag on Verbund's operational performance so far this year, the merchant power price exposure makes the company vulnerable to declining power prices. We also question the capital allocation related to Verbund's renewables expansion.

- **Fortum** - In the absence of either 1) concrete announcements on data center PPAs or 2) a sustained move up in the longer term forward curves, we expect Fortum's stock to drift. In our view, justifying the current share price requires at least a 20 year PPA on the Loviisa extension output at a €10/MWh premium to current forward curves, leaving scope for disappointment if curves drift down or if the company fails to execute on the PPA potential.

- **Solaria:** The stock is already factoring in the announced increase in capex and new projects to be developed along with the improvement of the value of existing assets derived from expectations of higher solar-profile prices due to growing power demand and batteries. Despite recent PPAs announced, the company still retains a significant merchant exposure.

- **Centrica:** We do not see many organic EPS enhancing growth opportunities going forward, although we expect to company to keep buying back its shares. Centrica is also vulnerable to declining European gas prices either through gas/power

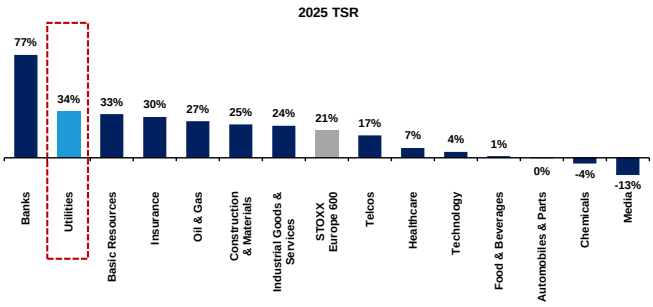
production or LNG trading activities with spreads between the US and European gas prices contracting materially.

- **Naturgy:** In our view the positives have been priced in, while a more challenging scenario in terms of gas prices that could erode earnings in the mid-term. On top of that, the regulatory review of the gas distribution asses in Spain represents a material risk on the light of the regulatory drafts for electricity grids.

2025 LOOK-BACK

Utilities were the second-best performing sector in the European market in 2025, outperforming the broader market by ~13 percentage points, driven by: 1) the desire for earnings visibility in the context of macroeconomic and trade war uncertainty; and 2) excitement regarding the sector's growth outlook in the context of ongoing investments in grids and renewables and 3) the perceived prospects for AI-driven power demand.

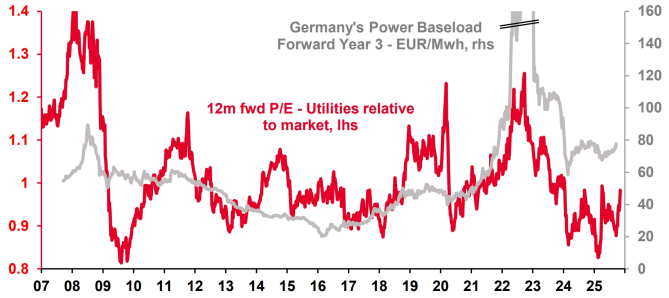
EXHIBIT 3: **Utilities were the second-best-performing sector in 2025**



Source: Bloomberg, Bernstein analysis

For 2026, Societe Generale European equity strategists see the European Utilities sector as offering "highly attractive risk-reward profiles with strong catalysts." According to the team, "this defensive sector is characterized by domestic exposure and value appeal. Beyond these traditional strengths, Utilities stand to benefit from robust growth drivers. The energy transition, energy independence concerns, and rising energy demand from AI and data centres could provide significant future upside. Its relative valuation remains low compared to current electricity prices, and earnings should continue to be supported by an inflation regime of around 2% in Europe." The sector sits as one of 5 key longs for 2026, with the team highlighting that the stocks are "cheap, defensive and domestic", also representing a "call on the Green deal."

EXHIBIT 4: **Utilities 12-month forward P/E relative to the MSCI Europe**



Source: The Big Picture: Rally, then Reality (Societe Generale European Equity Strategy 2026 Outlook report, published 24 November 2025)

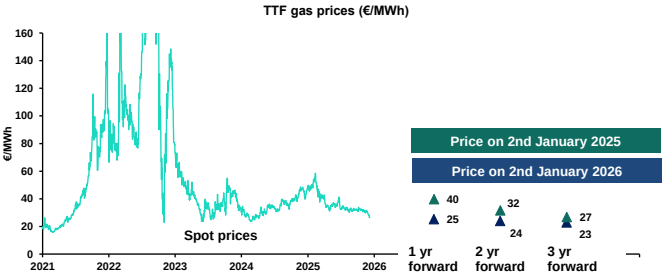
COMMODITY PRICES ARE LIKELY THE KEY VARIABLE IN THE 2026 MACRO

We see a broadly supportive interest rate and inflation backdrop for the sector in 2026, with markets pricing in modest interest rate cuts in the UK and US, and little change in the eurozone. The key uncertainty in the coming year, in our view, relates to commodity prices, with the potential for downward pressure from factors such as increasing LNG supply and still lackluster demand, notwithstanding data centre excitement. Commodity price insulation is a key pillar of the thesis for our Top Picks, and a key driver of our choice of least preferred stocks.

GAS OUTLOOK

European TTF gas forward prices are trading at ~€25/MWh, ~€24/MWh, ~€23/MWh and ~€22/MWh for the 1-year, 2-year, 3-year and 4-year forward respectively, while our Oil & Gas team anticipates that European gas prices will fall from €29/MWh in 2026 to €27/MWh in 2029. In contrast, other external forecasters such as Energy Aspects are more bearish, projecting prices of €30/MWh in 2026 declining to €25/MWh in 2027, €20/MWh in 2028 and €19/MWh in 2029.

EXHIBIT 5: **TTF wholesale gas prices**

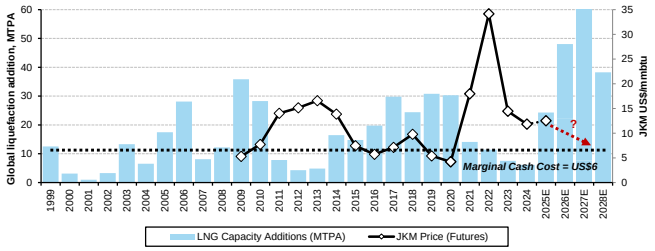


Bloomberg pricing data as of 02 January 2026
Source: Bloomberg, Bernstein analysis

LNG supply is a very important variable

Increases to incoming LNG supply to Europe are a key consideration for 2026. **Between 2025 and 2027, we expect c.130MTPA of additional liquefaction capacity to come online**, **equivalent to adding 30% of global LNG demand** and therefore posing a significant challenge for the market to fully absorb over a comparatively short period of time - see Exhibit 6.

EXHIBIT 6: **Global liquefaction capacity installed by year**



Source: Bloomberg, Company data, Bernstein Oil & Gas team analysis and estimates

If the LNG supply uplift were to coincide with the end of the Russian-Ukraine war and any re-commencement of Russian pipeline/ LNG flows towards Europe, it could result in a material change in the global gas outlook. In that scenario, we could see the LNG price decline towards the marginal cost of supply - see Exhibit 7. Based on current US LNG costs, we see a floor based on US LNG variable costs for European gas prices at ~€15.1/MWh or ~ $5.2/MMBTU (the variable cost of US gas using Feb-26 Henry Hub futures at ~$3.6/MMBTU plus margin of 15% and transportation of $1/MMBTU). Based on fully loaded costs of US LNG including the take or pay fees of $3/MMBTU and re-gasification costs of $0.5/ MMBTU, the fully landed cost of US LNG is ~$9/MMBTU which translates into ~€25/MWh.

Our US gas analyst, Bob Brackett, has reiterated his view of a mid-cycle US gas price of ~$5/MMBTU - see Americas Natural Gas Outlook 2026: Don't lose faith in five which would drive European gas prices in 2026 and 2027. Using this price would imply a floor based on US LNG variable costs at ~€19.2/MWh or $6.5/MMBtu.

EXHIBIT 7: **Indicative fixed and variable costs of US LNG in Europe**

LNG total cost	$/MMBtu	€/MWh
Henry Hub Jan-26 gas price	3.6	10.6
15% liquefaction margin	0.5	1.6
Transportation	1.0	2.9
Total variable costs	**5.2**	**15.1**
Fixed liquefaction fees	3.0	8.8
Regasification	0.5	1.5
Total fixed costs	**3.5**	**10.3**
Total costs	**8.7**	**25.3**

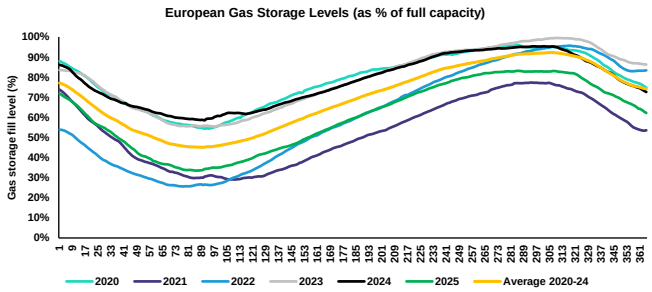
Source: Bloomberg, Bernstein analysis

There could be some near-term support from low storage levels in Europe

Gas storage levels in Europe closed 2025 at approximately 62% full, marking the lowest point since 2021 and significantly below the 74% historical average for this period. Although the binding target of 90% gas storage remains in effect until the end of 2027, the deadline to achieve this target has been adjusted from November 1st to a more flexible window spanning October 1st to December 1st. Furthermore, member states are now permitted to deviate by up to 10% from the target in case of difficult market conditions, and the European Commission can further increase this flexibility by another 5% if those conditions persist. On November 18th, the German association of gas storage system operators, INES, reported that Germany is entering the heating season with an unexpectedly low storage level of only 75%. INES warned that, in the event of extremely cold temperatures, supply shortages could arise as early as mid-January.

As we set out in Exhibit 8, aggregate European gas storage levels closed 2025 ~12ppts below both the 2020-24 average, and ~10ppts below 2024's levels.

EXHIBIT 8: **European gas storage levels**

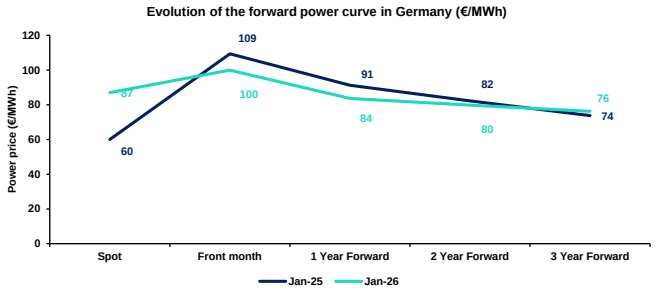


Source: GIE AGSI, Bernstein analysis

POWER OUTLOOK

Translating potential downward pressure on gas prices into power prices, we take the above-mentioned floor gas price level of ~€15/ MWh and the current EU ETS price of ~€87 /tonne (for the month-ahead contract) and find that these values would imply a base-load power price floor of ~€64/MWh, assuming a gas plant is at the margin, as is implied in the current forward curve in Germany. Between January 2025 and January 2026, as we show in Exhibit 9, the 1 year forward power curve fell by ~8%, to ~€84/MWh, whilst the 2-year forward price fell by ~3% and the 3-year forward price rose by ~3%.

EXHIBIT 9: **German power curve, January 2026 vs January 2025**

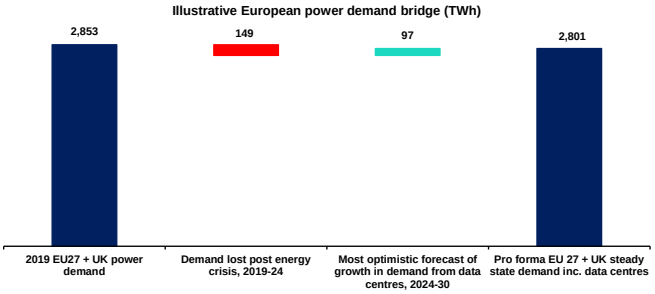


Source: Bloomberg, Bernstein analysis

WE DON'T SEE SIGNIFICANT POWER PRICE SUPPORT COMING FROM DATA CENTRES

Whilst 2025 saw growing excitement about the potential impact of data centres on European power demand following on from the enthusiasm seen in the US market, we take a somewhat more cautious view given the very different starting point for power demand in Europe vs in the United States. As we show in Exhibit 10, even under the most optimistic forecasts, demand growth is forecast to be insufficient to completely offset the impact of de-industrialisation seen in Europe following the 2022 Energy Crisis.

EXHIBIT 10: **With data centre demand growth forecast to fall short of demand lost since 2019, Europe needs more than this to return its power markets to growth**



Demand lost post energy crisis is defined as the excess of 2019 demand over 2024 demand in the EU27 + UK. Growth in data centre demand is the most optimistic (BNEF) from a set of industry forecasts from ICIS, BNEF, IEA and McKinsey.
Source: Eurostat, BNEF, McKinsey, ICIS, IEA, Bernstein analysis and estimates

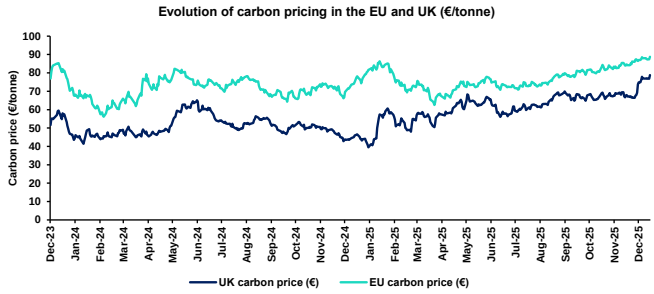
CARBON PRICE OUTLOOK

The EU ETS is currently trading above €87 per tonne for the month-ahead contract, reaching its highest level since October 2023. Funds active in the carbon market have increased their net long positions to 110 million tonnes, marking the largest historical long exposure, well above the previous record of April 2021. We list below some of the fundamentals that could help explain the evolution of carbon price:

- Declining temperatures combined with rising power generation demand across Europe are supporting higher carbon prices.
- In 2026 the European Commission will reduce the emission cap of allowances by 8.6%.
- Auction supply in the primary market is set to decrease by approximately 1% in 2026, according to European Energy Exchange auction schedules.
- The Market Stability Reserve is forecast to absorb allowances from circulation in 2026, tightening supply.
- Auctions for the Recovery and Resilience Facility (RRF) under the REPowerEU programme will end at the latest on 31 August 2026.
- Maritime shipping emissions will be 100% included to the EU ETS starting in 2026, while free allowances for the aviation sector are phaseout at 100% in 2026.

Thus, the carbon and gas markets have decoupled over the past 2-3 months (see Exhibit 11) amid diverging fundamentals, with the carbon market focused on upcoming supply tightness in 2026.

EXHIBIT 11: **Evolution of carbon pricing in the UK and EU (€/tonne)**



Bloomberg pricing data as of 02 January 2026
Source: Bloomberg, Bernstein analysis and estimates

AN UNCERTAIN COMMODITY PRICE OUTLOOK CREATES A VULNERABILITY FOR SOME GENERATORS, ALBEIT WITH IDIOSYNCRATIC OPPORTUNITIES FOR CERTAIN COMPANIES

We could see some generators come under pressure in 2026 from a double whammy of 1) pressure on commodity prices and 2) data centre demand shortfalls vs elevated expectations. It is important to note that we do not expect our generation exposed top-picks (RWE, Engie, EDP/R, SSE) to be materially impacted - see Exhibit 12. Individual generators may also benefit from idiosyncratic upsides, e.g. from 1) PPA repricing in the US (RWE, EDP/R) 2) nuclear extensions (particularly Spanish utilities) and 3) sale of "powered land" (RWE, Engie, EDP/R, Fortum)

EXPOSURE TO (POTENTIALLY FALLING) COMMODITY PRICES IS AN IMPORTANT CONSIDERATION

Given the possibility of downward pressure in gas and therefore power prices, we lay out the sensitivities of our coverage companies to changes in power prices, considering the nuances of short-term hedges already put in place.

We present an indicative analysis of company merchant power price exposure in Exhibit 12, showing the illustrative EBITDA sensitivity per company to a €10/MWh (or local currency equivalent) change in wholesale power prices in Europe.

A high level of sensitivity in this analysis will be driven by one or more of 1) a starting position where a high proportion of EBITDA comes from generation which has no long-term contracted off-take, whether from government backed or commercial PPAs 2) lower short-term hedging of the starting merchant position, and 3) Lower power price assumptions in the primary markets of operation.

We also highlight a couple of caveats on our analysis:

- Wholesale prices across Europe are not uniform - for e.g. a €10/MWh change represents a c.25% downside case vs our assumed long-term power prices for Fortum and a c.12% downside case for Verbund.
- For integrated names in markets with sticky retail customers (Enel, Endesa), for the purpose of this analysis, we do not consider any benefits from a delayed/ non-linear pass through of commodity price changes to sticky retail customers.

None of our top picks has a material sensitivity to falling power prices, as is illustrated in Exhibit 12. Specifically, we would note that RWE's exposure in the event of a €10/MWh fall in power prices is no more than 1.7% of EBITDA in any year between FY26E and FY29E, whilst for Engie, it is no more than 0.7%. For EDPR, it is no more than 2.4%, whilst for EDP, it is no more than 3%. Finally, for SSE, it is no more than 1.8%. Moreover, earnings from the flex gen divisions of RWE and SSE are underpinned by growing capacity market payments while the other driver of earnings for trading and flex gen for RWE and Engie is volatility in commodity prices, rather than the absolute level.

EXHIBIT 12: **Illustrative EBITDA sensitivity to a €10/MWh reduction in European wholesale power prices**

% of EBITDA lost from €10/MWh power price reduction (or equivalent)	FY26E	FY27E	FY28E	FY29E
Fortum	-10.2%	-18.9%	-34.0%	-34.0%
Solaria	-10.1%	-12.3%	-11.7%	-11.2%
Verbund	-4.5%	-8.9%	-9.5%	-9.7%
Endesa	-1.7%	-3.9%	-8.8%	-8.6%
Acciona Energia	-3.2%	-3.2%	-3.2%	-3.5%
Enel	-3.1%	-3.2%	-3.2%	-3.1%
EDP	-1.2%	-2.3%	-3.0%	-2.9%
Iberdrola	-1.2%	-2.2%	-2.6%	-2.7%
Centrica	-4.6%	-4.4%	-3.2%	-2.7%
EDPR	-1.1%	-1.8%	-2.4%	-2.3%
RWE	-0.7%	-1.7%	-1.7%	-1.6%
SSE	-0.9%	-0.9%	-1.8%	-1.5%
Orsted	-0.7%	-0.9%	-1.2%	-1.4%
Engie	-0.7%	-0.7%	-0.6%	-0.6%

FX data via Bloomberg as of 09 December 2025
Source: Company filings, Bloomberg, Bernstein analysis and estimates

The current commodity context is slightly different from previous commodity price scare in early 2024: From 14th October 2023 to 24th February 2024, the TTF 1 year forward gas price and the 1 year forward German power price fell c.50% in a ~4 month period, from €56/MWh to €27/MWh and from €138/MWh to €68/MWh in a ~4 month period. However, with 1-year forward curves currently sitting at much lower levels (€25/MWh for gas and €84/MWh for power), we would highlight the lower potential fall in absolute terms.

...BUT SOME GENERATORS BENEFIT FROM ATTRACTIVE OPTIONALITY

Whilst we are somewhat cautious on the general outlook for European power prices in the short-to-medium term, we note that some individual generators do enjoy compelling optionality within their existing asset base, for example 1) large volumes of merchant generation in the US which can be repriced, e.g. via PPAs; 2) nuclear generation assets with scope for lifetime extensions; and 3) existing sites with grid connections (so-called "Powered Land") that can be re-purposed for more lucrative use, e.g. data center development.

Repricing of existing merchant output or expiring PPAs in the US

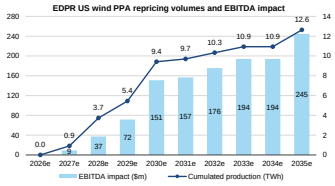
Some companies in our coverage have merchant renewable capacity in the US either due to the expiry of PPAs or because they never had any PPAs in the first place. In the past, these PPAs were not of particular interest to offtakers as they did not fulfill the condition of 'additionality' as it pertained to existing capacity. We understand that now, the condition of 'additionality' is being relaxed by offtakers in the US who would like to lock in green power supply at a fixed price. Wind generation in particular, which has a much better generation profile than solar and is in relatively short supply in the US, can particularly benefit from this.

- **RWE:** We highlight that RWE has 10TWh of merchant power generation, mainly onshore wind, in ERCOT (Texas region).

- **EDPR:** At its November CMD, EDPR stressed that a portion of its US wind fleet will gradually roll off legacy PPAs signed 15-20 years ago, creating an opportunity to reprice these assets at a premium. Assuming a 20-year PPA life, we estimate that the cumulative expiring volumes reach 3.7TWh by 2028, 9.4TWh by 2030e and 12.6TWh by 2035e. Assuming a premium of $10/MWh for PPAs expiring by 2028e, $20/MWh premium for PPAs expiring over 2029-31e, and $30/MWh for PPA expiring between 2032-35e, our analysis shows that the potential EBITDA uplift could reach $37m by 2028e, $151m by 2030e, and $245m by 2035e.

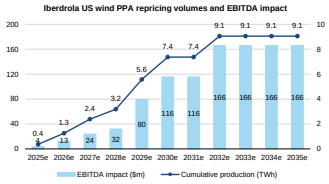
- **Iberdrola:** As of FY24, Iberdrola has 5TWh of renewable production that is merchant-exposed in the US, equivalent to 24% of FY24 US renewable production. Regarding US wind PPA repricing, based on the same assumptions used for EDPR above, we estimate that expiring volumes could reach 3.1TWh by 2028e, 7.4TWh by 2030e and 9.1TWh by 2035e resulting in a potential EBITDA uplift of $32m by 2028e, $116m by 2030e and $166m by 2035e.

EXHIBIT 13: **EDPR's US wind PPA repricing opportunity reaches 12.6TWh or $245m EBITDA upside by 2035e**



Source: EDPR, Bernstein analysis and estimates

EXHIBIT 14: **Iberdrola's US wind PPA repricing opportunity reaches 9TWh or $166m EBITDA upside by 2035e**



Source: Iberdrola, Bernstein analysis and estimates

Nuclear life extensions

Nuclear life extensions are largely an opportunity in Spain, Belgium and to a limited extent in the UK. In the Nordics, lifetime extensions are largely assumed to be a done deal.

- **Belgium - Engie:** Could we see further nuclear extension in Belgium? Beyond the existing agreement between Engie and the Belgian government to extend the lifespan of the Tihange 3 and Doel 4 reactors until 2035, the Belgian authorities are now considering establishing a joint venture to continue operating Tihange 1, Doel 1, and Doel 2 (La Tribune). Engie has formally opposed any such extension and the Belgian government is consulting EDF. While this is not included in our base case for Engie, we recognise a potential upside scenario if additional reactor lives were to be extended.

- **Spain - Endesa/Iberdrola/Naturgy:** In March 2019, the Spanish government and the operators of Spain's nuclear power plants (Iberdrola, Endesa, Naturgy and EDP) signed an agreement (the so-called nuclear protocol), establishing a gradual phase-out of nuclear generation between 2027 and 2035. Under the agreed phase-out schedule, the plants are expected to have a total lifespan of around 40 years. Endesa owns ~46% of Spain's nuclear capacity, Iberdrola ~28%, Naturgy ~8.0% and EDP ~2.5%. Lifespan extension cannot be taken for granted, although we expect positive developments, the first of which would be the three-year extension for the Almaraz plant that the companies have formally requested from MITECO. The outcome is pending, as the ministry is awaiting the formal opinion of the Nuclear Safety Council (CSN), whose view will decide extension or closure. The electricity system operator (Red Electrica) will have to issue a report giving the green light (from the system's safety of supply angle) in the event of closure of the plant. For the rest of the plants, the decision will be in the hands of a new government (with the upcoming presidential election in July 2027). The extension of Almaraz would be a positive sign that both main political parties in Spain are open to further such action (the conservative PP party has openly supported extensions).

- **UK - Centrica:** In September 2025 EDF UK and Centrica announced that Heysham 1 (1,155MW) and Hartlepool (1,180MW) nuclear reactors will continue generating until March 2028, one year later than previously expected. There is no change at the moment to the expected March 2030 closure date of Heysham 2 and Torness, announced in December 2024. The total life extensions announced since December 2024 are expected to add up to 60TWh total, or 12TWh at Centrica's 20% share (of which 3TWh relates to September's announcement). In our view, this development is moderately positive for Centrica. However, given the fact that we assume power prices gradually converge towards £50/MWh by FY30 and the short term extension (12 months), the resulting impact on our valuation of Centrica is estimated to be modest, around 1 to 2 pence per share.

Powered land

- **RWE:** Management were asked about the potential to repeat UK data center site sale, at other sites, and indicated that they are working on 10 similar sites in Europe across UK, Germany and Netherlands. According to management, the company has gone through all available sites and zeroed in on these sites based on filters such as no risk of flooding, earth quakes etc., which would be very important considerations for data center operators. As a reminder, in 2011 RWE had 14.0GW of hard coal capacity, including 9.6GW in Germany, 0.9GW in the Netherlands/Belgium and 3.5GW in the UK; as well as ~10GW of lignite in Germany. We note that RWE has converted some of these sites into batteries and is also repurposing some sites for new gas build (e.g. planned gas plant at former lignite plant site of Weisweiler).

- **Engie:** According to Sébastien Arbola, head of the company's data center business, Engie has identified 40 sites globally that

it is marketing to data center developers, including coal and gas plants that could be converted. One example is the Hazelwood coal plant in Australia, which closed in 2017 (Reuters). During Bernstein's SDC conference (European Utilities: Takeaways from Bernstein 2025 SDC - SSE, E.ON, National Grid, Veolia, Engie, Enel, Endesa & Iberdrola), Engie indicated that it has identified over 1,000 grid-connected sites suitable for co-located data centers.

- **Enel:** In 2015, Enel had a global coal capacity of 18.8GW, by June 2025 the company had reduced its global coal capacity to 4.6GW, including 4.2GW in Italy.

- **Iberdrola:** Since 2001, Iberdrola has closed 7.4GW of thermal power plants, including 3.9GW in Spain (3.5GW of fuel oil and 0.4GW of coal); and 3.6GW of coal in the UK (Cockenzie & Longannet). The company also has a subsidiary CPD4Green which is dedicated to facilitating data center development infrastructure with a 700MW portfolio in Spain and the potential for another 5GW. Moreover, Iberdrola created a JV with Echelon Data Centres (20% Iberdrola, 80% Echelon) where Iberdrola will provide grid-connected land and supply electricity to the sites with the first project being Madrid Sur (144MW IT capacity, 230MW grid connection).

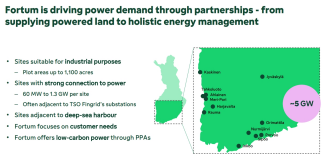
- **SSE:** SSE used to own two coal plants in UK Fiddler's Ferry and Ferrybridge with a capacity of 2GW each and have been decommissioned. SSE has/ is in the process of adding 150MW size batteries in each of these sites. In addition, SSE also constructed Multi-fuel generation in the Ferrybridge site totaling to 150MW, which the company has monetized by divesting in 2020.

- **Fortum:** Fortum has identified sites with 5GW of powered land (Exhibit 15) in Southern Finland comprising old thermal sites (eg Meri-Pori coal plant) as well as sites developed by them, at various stages of development. We note that grid connection timelines in Finland are lower compared to the rest of Europe.

- **EDP/R:** During its November CMD, EDP/R highlighted the optionality to monetize powered land for the development of data centers (see Exhibit 16). The company has previously mentioned repurposing decommissioned coal plants in Iberia for data center sites.

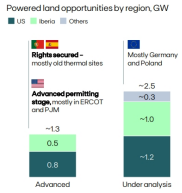
- **Solaria:** During Solaria's 2025 CMD, the company detailed that it has 8.4GW of powered land under development of which 3.4GW it has secured power including 1.2GW in Iberia, 1.4GW in Italy, 0.6GW in the UK and 0.2GW in Germany. However, the company caveated that the powered land is marketed to both data centers and battery developments.

EXHIBIT 15: **Fortum has identified 5GW of powered land in its portfolio in Finland**



Source: Fortum

EXHIBIT 16: **Data center demand growth creates optionality for powered land**



Source: EDPR

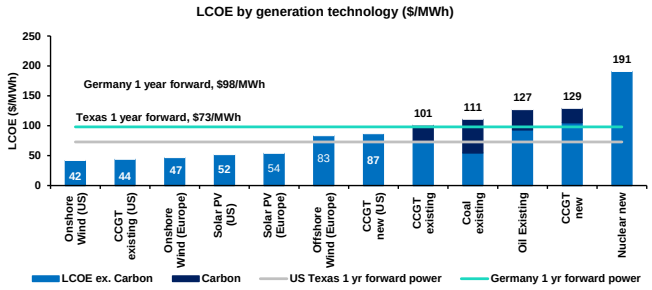
A MIXED BUT LARGELY IMPROVING OUTLOOK FOR RENEWABLES...

The Renewables sub-sector enters 2026 with 3 important tailwinds: 1) clarity on the phase-out of US tax credits, 2) ongoing strength in US power demand, 3) continuing policy commitment to the sector in Europe, e.g. in the UK's AR7 and continuing progress on permitting in Germany. Renewables remain cost-competitive vs rival generation technologies.

RENEWABLE GENERATION IS COST-COMPETITIVE AND DEVELOPERS ARE SHOWING DISCIPLINE

LCOE of renewables are currently competitive even with stabilised power prices - see Exhibit 17.

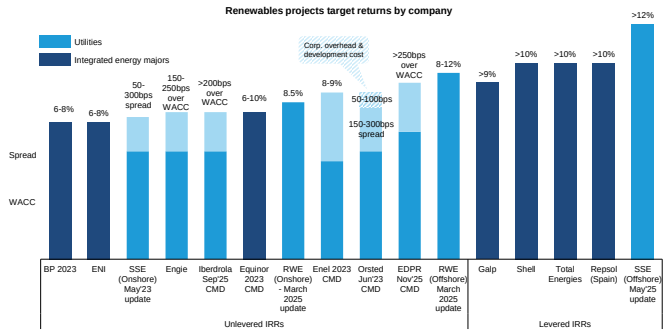
EXHIBIT 17: **Comparative analysis of technology LCOEs**



Bloomberg pricing as of 02 January 2026
Source: Industry data, Bloomberg, Bernstein analysis and estimates

Renewable generators have been able to pass on inflationary costs and generate attractive returns, which have been re-emphasised in the updated strategic plans of companies, with higher hurdle rates on new investments - see Exhibit 18.

EXHIBIT 18: **Companies are targeting higher returns on renewable investments**

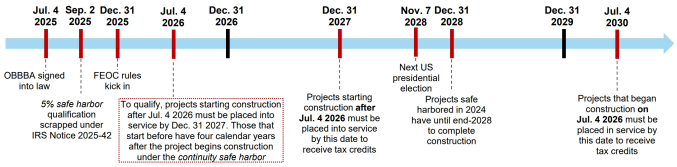


Note: WACC assumption of 5.5%
Source: Company reports, Bernstein analysis

US ONSHORE RENEWABLES ARE A BRIGHT SPOT

We see recent US policy developments as materially reducing uncertainty for renewable developers (excluding offshore wind). The signing of the OBBBA on July 4 and the IRS' August 15 guidance on the 'beginning of construction' criteria provides long-awaited clarity on the future tax credit framework. Broadly speaking, projects that are safe harbored before mid-2026 have up to mid-2030 to be placed into service. We provide a summary of the changes below.

EXHIBIT 19: **US tax credit phase-out timetable**



Source: US Treasury, Bernstein analysis

We highlight the safe harbored capacity from renewable players with large US exposure below:

- **EDPR:** At the November CMD, the company highlighted that it has over 5GW of safe harbored capacity in the US with COD until 2030. Additionally, EDPR has signed a framework agreement with First olar to secure the supply of US-made solar panels for 1.8GWp of capacity for 2026-2028, strengthening its position against potential tariff-related disruptions.

- **RWE:** The company has not disclosed the exact amount of safe-harbored capacity, but we believe it is in the 8-10GW range. The company has stated that it has now secured sufficient safe harbored capacity in the US which would provide projects to the end of this decade. This is not expected to be a binding constraint - rather execution, PPAs and tariff mitigation would be key constraints on how much the company will eventually install.

- **Orsted:** At the 3Q25 results, Orsted disclosed that it has 6-7GW of safe-harbored capacity under the IRA through 2029, which they will seek to progress although under the condition that the US onshore business has to be self-funding.

- **Engie:** The company says it has "few more GW" of capacities safe harbored although the management also expects slower growth in the US in the future.

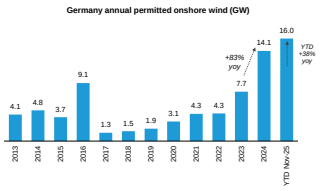
- **Acciona Energía:** At its 1H25 results, the company revealed that it has 1.4GW of safe harbored capacity in the near term and another ~2GW secured in the pipeline with COD expected between 2029-30.

- **Enel:** The company is currently not constructing any projects in the US although is looking for opportunities to acquire brownfield assets with PPAs.

WE CONTINUE TO SEE AN IMPROVEMENT IN RENEWABLES PERMITTING

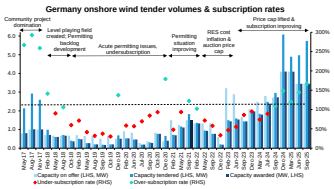
Renewables permitting continues to improve in Europe, particularly in Germany, following increased policy focus on the topic. As at the end of November 2025, Germany had permitted ~16GW of new onshore wind projects, a ~38% increase year-on-year from the same period in 2024 - see Exhibit 20. This has already topped the record 14.1GW for the entire year, set in 2024. Average approval times for permitting processes have also been trending downwards.

EXHIBIT 20: **Permitting YTD in Germany has surpassed a record 2024**



Source: Fachagentur Wind und Solar, Bernstein analysis

EXHIBIT 21: **Tender volumes and subscription rates continue to rise in Germany**



Source: BNetzA, Bernstein analysis

THE VERDICT IS STILL OUT ON OFFSHORE WIND

Offshore wind auctions were disappointing in 2025 with over 8GW of failed or canceled tenders in Denmark (0.8-1.2GW Hesselø, 1GW Kattegat II and 1GW Kriegers Flak II), Germany (2GW N-10.1 and 0.5GW N-10.2), the Netherlands (1GW Nederwiek 1-A), France (1.2GW AO7) and Lithuania (0.7GW Tender 2). The failures in Denmark, Germany and the Netherlands were mainly due to negative bidding auction design where developers pay for the right to build an offshore wind farm.

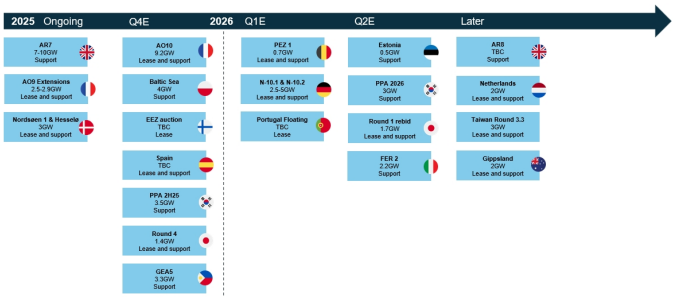
In June 2025, Germany awarded the 1GW N-9.4 site to TotalEnergies under the negative bidding mechanism with a bid

price of €180m, while France awarded the 1.5GW AO8 site to TotalEnergies and RWE at a strike price of €66/MWh, however RWE "has expressed the wish to exit the consortium, subject to French authorities' approval".

Despite recent auction setbacks, a positive outcome has been the renewed commitment by countries to redesign and strengthen future tender processes. Denmark, for instance, has earmarked DKK 55.2bn in state support for the rebooted CfD tenders covering Nordsøen Syd, Nordsøen Midt, and Hesselø (although this is being challenged by onshore and solar developers). Germany has indicated a shift toward the CfD model (although timing of shift is unclear), while the Netherlands plans to allocate €1bn in subsidies next year to tender 2GW of new capacity.

The recent drought of failed auctions was broken on November 27, 2025 when the second Irish offshore wind auction cleared at €98.7/MWh for a 900MW site called Tonn Nua, ~15% higher than the €86.05/MWh tariff result in the first Irish offshore wind auction in 2022. The tariff is guaranteed for 20 years, partially inflation linked, and transmission costs are not born by the developers. However, the project has extremely long lead times as it has to be permitted. As per Orsted, who won the site jointly with Irish utility ESB, the project now needs to be assessed, matured and successfully pass all gates in the JV's stage-gate process, including meeting the value creation criteria. Final investment decision is expected around 2031 and first power in the mid-2030s. SSE CFO also highlighted the difficult conditions at this site in our recent SDC.

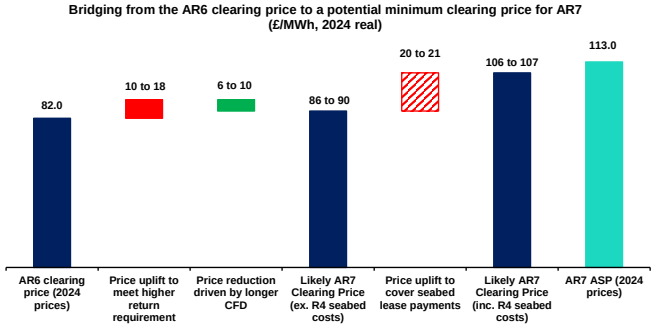
EXHIBIT 22: **We expect significant offshore wind auctions to open towards the end of the year and over 2026**



Source: Market regulators, Aegir Insights, Orsted, Bernstein analysis

The UK's AR7 auction, with results early in 2026, will likely serve as a key barometer of the strength of political will in Europe to push forward with the energy transition in the face of elevated, if not still rising, costs. **We see RWE, SSE and Vestas as a beneficiary of AR7 auction results due on Jan 14th 2026.**

EXHIBIT 23: **We see the potential for AR7 to clear at prices in excess of £85/MWh (2024 money)**



Source: DESNZ, Bernstein analysis and estimates

THE LATEST DEVELOPMENTS IN US OFFSHORE WIND ARE A SIGNIFICANT BACKWARD STEP

On 22nd December 2025, the US Department of the Interior announced that it was suspending with immediate effect the leases for all major offshore wind projects in the United States - see Quick Take: US Offshore Wind - Rinse, Repeat and Stop Work. The order cited interference with radar systems and other unspecified defence-related concerns in justification. The US government has asked for construction to be paused for 90 days, with potential extension at the government's discretion. The order impacted 5 projects which were under construction:

- **Vineyard Wind 1 (OCS-A 0501)**: 800MW co-owned by Iberdrola and Copenhagen Infrastructure partners and expected to be commissioned in 2026. Turbine supplier is GE Vernova.
- **Revolution Wind (OCS-A 0486)**: 704MW co-owned by Orsted and US investor Blackrock, 85% complete and subject to a stop-work order which has been paused due to injunctive relief granted to Orsted. Turbine supplier is Siemens Energy.
- **CVOW – Commercial (OCS-A 0483)**: 2,400MW co-owned by US utility Dominion Energy and US investor Stonepeak and 2/3rds complete. Turbine supplier is Siemens Energy. The project has some Republican Party support (eg Governor of Virginia - Glenn Youngkin). The project is rate payer funded and has already spent $8.2bn out of total project costs of $11.2bn.
- **Sunrise Wind (OCS-A 0487)**: 920MW project 100% owned by Orsted, 40% complete. Turbine supplier is Siemens Energy.
- **Empire Wind 1 (OCS-A 0512)**: 810MW project 100% owned by Equinor, 55% complete and was subject to a stop-work order which was cancelled. Turbine supplier is Vestas.

These developments in the US underscore the extreme risks faced by developers operating in that jurisdiction, and came after a period of little news-flow following Orsted's successful application in September 2025 for an injunction against a previous federal

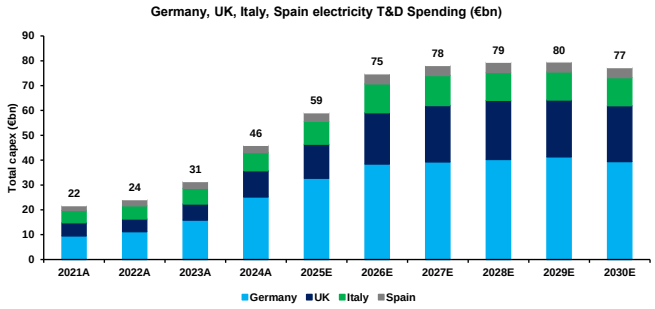
government stop-work order. We expect Orsted's share price in particular to be dominated by US developments over the course of 2026.

WHILST REGULATED NETWORKS SHOULD KEEP GRINDING AHEAD

Given the uncertain backdrop for commodity prices and demand, we continue to see strong appeal in the high earnings visibility enjoyed by regulated networks, which is combined with a compelling growth outlook for electric networks.

As we show in Exhibit 24, we see a robust outlook for capital investment in power transmission and distribution networks in major European countries heading out to 2030 (see European Utilities: Winners from the grid expansion opportunities in Europe and European Utilities: Winners from grid expansion opportunities - Part 2: A primer on networks regulation across Europe). This growth provides an attractive opportunity for value-creating investment by network operators in a context of global competition for capital to fund infrastructure investments. We would highlight that grid investments to support the AI/DC build-out are minimal in the below forecasts and therefore the power grids growth story only has upside from further demand growth discussed previously.

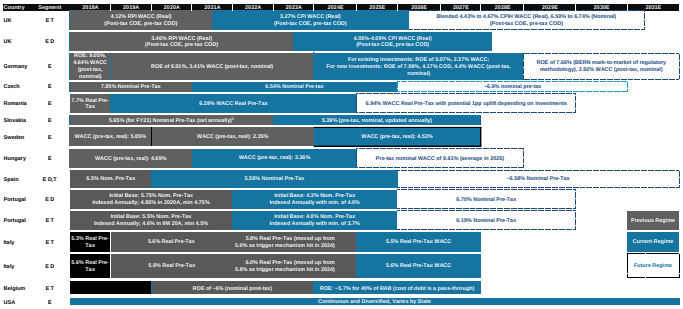
EXHIBIT 24: **Germany, UK, Italy and Spain T&D capex**



Source: Regulatory reports, TSO and DSO annual reports, Bernstein analysis and estimates

We set out an overview of the regulatory state of play in major European jurisdictions in Exhibit 25.

EXHIBIT 25: **European power network regulatory regime overview**



Source: Regulatory reports, company filings, Bernstein analysis and estimates

WE ALSO SEE IDIOSYNCRATIC CATALYSTS IN 2026...

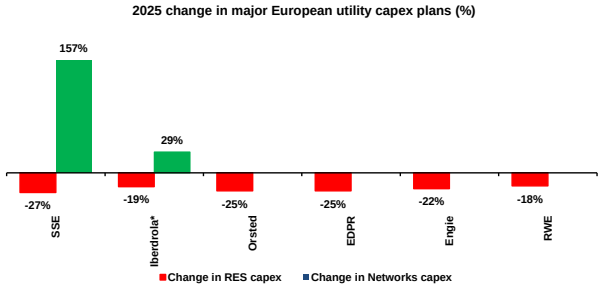
Shifting of company capital allocation decisions has been an important theme in 2025, which has seen significant evolution in major utility company investment and funding plans.

CAPEX ALLOCATION AND DISCIPLINE

We saw companies announce very significant cuts to renewable generation investment plans in the first half of 2025, as we show in Exhibit 26. In March 2025, RWE announced a 25% reduction in its 2025-30 investment program, with SSE in June 2025 announcing a 15% reduction in their net plans for the 5 years to FY27, primarily driven by Renewables. Similarly, in May 2025, Orsted announced the abandonment of the 2.4GW Hornsea 4 project. For RWE, the cuts to planned capex were used to free capital for 1) a reduction in the company's leverage target, and 2) an acceleration of planned share buybacks.

In the second half of 2025, we saw companies announce significant acceleration of their investment in power networks. In November 2025, SSE announced a £33bn 5-year investment plan with a >80% allocation to its Networks business, whilst at Iberdrola's Capital Markets Day in September 2025, the company announced a €50bn 3-year net investment plan with a ~2/3 allocation to Networks. We present the full picture in Exhibit 26.

EXHIBIT 26: **European Utilities have announced significant cuts to renewable generation capex plans in 2025, with some substantial increases to Networks investment**



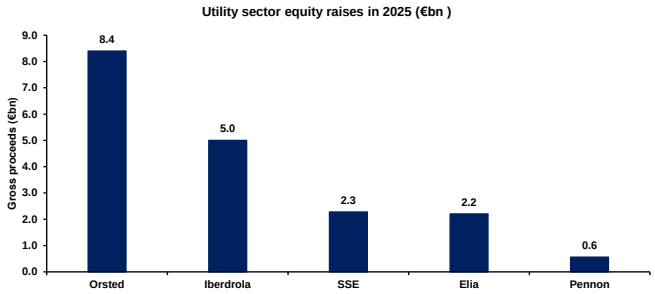
*refers to combined Renewables + Customers
Source: Company filings, Bernstein analysis

We see the potential for a partial revival of the attractiveness of renewables investment in 2026 in the context of 1) increased appetite for new-build green power in the US to fuel the ongoing data center boom, and 2) an inflecting subsidy outlook, with the UK's AR7 likely to confirm a trend of improving pricing in offshore wind following >8GW of auction failures in 2025.

EQUITY RAISES

In 2025, as we show in Exhibit 27, we saw close to €20bn of new capital raised by European utility companies, including Orsted's DKK 60bn rights issue, Iberdrola's €5bn capital increase, and SSE's £2bn equity raise. Whilst Orsted's outsized raise reflected the company's difficulties executing its US offshore wind construction program, the remaining raises reflect the significant growth opportunities in networks currently contemplated by European utilities, as noted above. Over 2026, we do not expect any major equity fundraising by the remaining network oriented utilities including E.ON, Terna and Redeia. Terna, for example, has confirmed multiple times that its business plan until FY28 is fully funded with financing flexibility sitting in hybrids, disposals and grants. Regarding Redeia, we see the need for €2bn of hybrids (€1.5bn in new issuance) to fund its capex plan through to 2030.

EXHIBIT 27: **European Utilities raised close to €20bn in 2025**



Source: Orsted, Iberdrola, SSE, Elia, Pennon

BUYBACKS

We saw strong share price performance from utility companies which announced share buybacks in 2025. As we show in Exhibit 28, all but 1 of the 5 European utility companies which announced material share buybacks in 2025 saw subsequent share price performance ahead of the broader market.

EXHIBIT 28: **European utility sector buybacks in 2025**

Company	Date of announcement	Stock performance since announcement	SX6P then	SX6P now	Sector performance since announcement	Stock outperformance since announcement
Solaria	03/06/2025	116.3%	441.83	489.77	10.9%	105.5%
RWE	12/11/2024	50.6%	385.1	489.77	27.2%	23.4%
Centrica	20/02/2025	18.1%	383.04	489.77	27.9%	-9.8%
Enel	31/07/2025	14.8%	440.3	489.77	11.2%	3.6%
Endesa	27/03/2025	27.0%	413.39	489.77	18.5%	8.5%

Bloomberg pricing data as of market close 05 December 2025
Source: Solaria, RWE, Centrica, Enel, Endesa, Bloomberg, Bernstein analysis

Looking to the remainder of 2026, however, and as noted above, we see the potential for buybacks to give way to a renewed appetite for industrial investment in key areas, e.g. to capitalise on a healthy appetite for PPAs with new build renewable assets in the United States**. As such, we do not expect RWE to continue with its buy-back programme** given improved opportunities in US renewables, German gas power plants and UK offshore wind. However, for companies with lower investment opportunities and strong balance sheets, like Enel, Centrica, we could see a continuation of buy-backs in 2026.

CATALYST CALENDAR

We expect a number of catalysts for the companies in our coverage during the course of 2026, summarised in Exhibit 29.

EXHIBIT 29: **Upcoming European Utilities sector catalysts over 2026**

Company	Catalyst Detail	Estimated Timing
Generation		
Fortum	Potential nuclear PPA with a data centre	2026
Integrated		
SSE	Start of the RIIO-T3 price control UK renewables auction (AR7) for Berwick Bank	2Q 2026 14-Jan 2026
Endesa	CMD and Strategic Update to 2028 Potential 3-year Almaraz nuclear extension	Feb 2026 1Q 2026
Enel	CMD/Strategic plan for FY26-28 Distribution concession extension in Italy Distribution concession extension in Brazil	1Q 2026 4Q 2025/1Q 2026 2026
Iberdrola	UK: AR7 CFD auction results; Start of RIIO-T3 price control Potential 3-year Almaraz nuclear power plant useful life extension US: Ongoing US grids rate case outcomes/improvements	14-Jan 2026; Q2 2026 1Q 2026 2026
Centrica	Re-regulation of gas storage activities in the UK	1H 2026
Regulated		
Terna	New regulatory framework introduction in 2026, likely resulting in new incentives CMD	2026 1Q 2026
Redeia	CMD	1Q 2026
E.ON	Potential capital plan update at FY25 results Updates to German regulatory framework for Distribution grids Publication of draft regulatory documentation for RP5 in Sweden	26-Feb 2026 2026 1Q 2026
National Grid	Details on expectations for RIIO-T3 Massachusetts Gas rate case	Mar 2026 2H 2026
Snam	New regulatory framework introduction in 2026, likely resulting in new incentives CMD	2026 1Q 2026
Elia	Updates to German regulatory framework for Transmission grids Start of the new price control process in Belgium (for the regulatory period starting in 2028)	2026 2026
Italgas	CMD	4Q 2026
Renewable		
EDPR	Asset rotation deal announcements IRA tax credit safe harbour deadline	2026 4-Jul 2026
Orsted	Legal and policy clarity on US offshore wind projects European onshore wind business divestment	2026 2026
RWE	Capital allocation plan update at FY25 results UK AR7 CFD auction results German gas power plant auction PPA announcement for under-construction European offshore wind farms	12-Mar 2026 14-Jan 2026 1H 2026 2026
Other		
Veolia	Potential guidance update alongside FY25 results	1Q 2026
Vestas	UK AR7 CFD auction results	14-Jan 2026

Source: Company reports, regulatory filings, Bernstein analysis

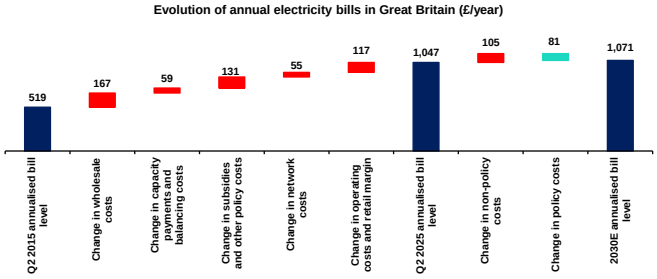
...WHILST POLITICS IS LESS RELEVANT

2026 is a comparatively less important year for politics in Europe, with only Denmark, France and Sweden expected to hold major national elections in the year. We recap some of the relevant political events below:

UK

UK: In the recent budget, the UK Chancellor announced that 75% of legacy renewable subsidies under the RO scheme will be taken off bills and instead funded via general taxation, while the Energy Company Obligation (ECO) levy, which funded insulation and heating upgrades through consumer bills, will be scrapped entirely. We estimate that this measure will reduce average bills in 2030 by ~5% versus our previous forecast, with nearer term reductions closer to 10% given the higher ROC burden currently. We set out the illustrative impact in Exhibit 30 below.

EXHIBIT 30: **Recent UK government announcements at the 2025 budget should reduce bills by 5-10%**



Source: Ofgem, UK Department for Energy Security and Net Zero, Bernstein analysis and estimates

GERMANY

Germany: With the new coalition Government taking the helm in 2025 and publishing a 'reality check' report in the summer, there were questions on the renewable ambitions of the country last year. Per a recently-leaked coalition discussion paper, Germany is expected to continue to auction 10GW p.a. of onshore wind to 2028 and 17GW p.a. of solar to 2028. Additionally, the German Government plans to run an auction for up to 8GW of new gas power plants - the auction framework is likely to be unveiled early this year with tenders in March or sometime around Easter [in April] and the awarding done before the summer - we expect RWE to be a clear beneficiary.

The outlook for offshore wind is less clear given recent failed auctions as discussed previously; the country may not be able to reform the design for offshore wind to a CfD format in time for the next auction scheduled for February 2026.

UNITED STATES

The most important political event for the European Utilities sector in 2026 is likely to be the mid-term elections in the United States, although following the finalisation of the phase-out of US tax credits earlier this year, the development of US policy is also now less relevant. Coming into the US mid-terms, the House of Representatives currently has a 219: 213 Republican majority and the Senate a 53: 47 Republican majority. Polling recently compiled by the New York Times pointed to Democratic gains at the elections, potentially leading to the Republicans losing control of the House, or, less likely, the Senate. As previously noted, however, there is little scope for either event to materially influence US energy policy at this juncture. Moreover, there is likely to be progress on litigation in the US against President Trump's executive orders targets federal permitting of wind as well as continuation of construction of offshore wind as discussed earlier.

FRANCE

Since the last legislative elections in July 2024, which resulted in no clear majority, France has seen five governments. However, over the past 18 months France appears to have entered a period of new normality characterized by technical caretaker governments and intermittent uncertainty around budget bill votes. Despite this political backdrop, Engie's share price has risen by 52% since the July 2024 elections, while Veolia's performance has remained broadly stable. Overall, we continue to see a limited impact on companies in our coverage, although the risk of a snap election cannot be ruled out, bringing an accompanying increase in political uncertainty that would likely weigh on French companies broadly, at least temporarily.

INVESTMENT CONCLUSIONS

In our view, European Utilities have **plenty to offer in 2026**, trading at a ~9% P/E discount to the market but offering a ~7% 3-year EPS CAGR (vs ~11% market) and a ~120bps dividend yield uplift.

This follows a 2025 where Utilities were the 2nd best performing sector, following 2 years of under-performance. We continue to see **electric networks offering the best risk-adjusted exposure** through **SSE**, **National Grid**, **Redeia** and **Terna**. We also see opportunity in Renewables through **EDP/R**, **RWE** & **Engie**, and in UK Water through **Severn Trent**. Our l**east preferred names are merchant power/commodity exposed names** Verbund, Fortum, Solaria, Centrica and Naturgy.

EXHIBIT 31: **BERN European Utilities Top Picks 2026**

Rank	Company	Curr.	Share price	Target price	Rating	% Upside	Category	Theme
1	SSE	GBp	2,179	2,600	Outperform	19.3%	Integrated	Electric Networks
2	National Grid	GBp	1,142	1,300	Outperform	13.9%	Regulated	Electric Networks
3	EDP	EUR	3.92	4.60	Outperform	17.5%	Integrated	Renewables
4	Engie	EUR	22.41	25.10	Outperform	12.0%	Integrated	Renewables
5	Severn Trent	GBp	2,789	3,200	Outperform	14.7%	Regulated	Water Networks
6	RWE	EUR	45.26	50.00	Outperform	10.5%	Renewable	Renewables
7	Redeia	EUR	15.17	18.15	Outperform	19.6%	Regulated	Electric Networks
8	EDPR	EUR	12.04	13.50	Outperform	12.1%	Renewable	Renewables
9	Terna	EUR	9.05	10.00	Outperform	10.4%	Regulated	Electric Networks

Bloomberg pricing data as of market close 31 December 2025
Source: Bloomberg, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

			30 Dec 2025		TTM	Adjusted EPS				Adjusted P/E (x)		
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2024A	2025E	2026E	2024A	2025E	2026E
EOAN.GR	M	EUR	16.13	17.00	9.4%	EUR	1.09	1.17	1.10	14.7	13.8	14.7
FORTUM.FH	M	EUR	18.50	16.70	2.7%	EUR	1.00	0.83	0.99	18.4	22.4	18.6
NG/.LN	O	GBp	1,157.50	1,300.00	(13.5)%	GBP	0.73	0.78	0.90	15.9	14.8	12.9
ORSTED.DC	M	DKK	128.00	125.00	(65.6)%	DKK	(2.19)	2.71	7.25	(58.3)	47.3	17.7
RWE.GR	O	EUR	45.26	50.00	24.5%	EUR	3.12	2.29	2.40	14.5	19.7	18.9
SSE.LN	O	GBp	2,231.00	2,600.00	3.0%	GBP	1.61	1.51	1.77	13.9	14.7	12.6
VWS.DC	O	DKK	178.65	195.00	36.6%	EUR	0.49	0.74	1.04	48.5	32.4	22.9
ANE.SQ	M	EUR	23.14	19.20	(10.5)%	EUR	0.95	0.68	0.89	24.3	34.2	25.9
CNA.LN	M	GBp	174.35	174.00	(7.0)%	GBP	0.19	0.12	0.16	9.2	14.4	11.2
EDP.PL	O	EUR	4.00	4.60	(7.6)%	EUR	0.33	0.30	0.30	12.0	13.4	13.5
EDPR.PL	O	EUR	12.58	13.50	(8.7)%	EUR	0.22	0.31	0.43	58.4	41.2	29.2
ELE.SM	M	EUR	31.13	28.60	13.1%	EUR	1.80	2.06	2.07	17.3	15.1	15.1
ELI.BB	O	EUR	112.20	115.00	23.4%	EUR	5.74	5.31	6.08	19.6	21.1	18.4
ENEL.IM	M	EUR	9.00	8.90	(5.9)%	EUR	0.68	0.67	0.71	13.3	13.5	12.7
ENER.SQ	M	EUR	5.02	5.00	(28.1)%	EUR	0.05	0.02	(0.07)	98.4	238.7	(76.1)
ENG.SQ	O	EUR	13.37	18.00	(17.4)%	EUR	1.18	1.04	0.95	11.3	12.9	14.1
ENGI.FP	O	EUR	22.97	25.10	13.9%	EUR	2.25	2.00	1.92	10.2	11.5	11.9
GRE.SQ	O	EUR	84.70	72.00	112.2%	EUR	2.10	3.25	3.44	40.4	26.1	24.6
IBE.SM	M	EUR	18.63	17.30	3.2%	EUR	0.86	0.96	0.98	21.6	19.5	19.1
MTLN.LN	M	EUR	45.85	48.00	NA	EUR	4.46	4.10	5.07	10.3	11.2	9.0
NTGY.SM	M	EUR	25.80	27.25	(26.5)%	EUR	1.94	2.10	1.89	13.3	12.3	13.6
PGE.PW	O	PLN	9.10	11.60	14.5%	PLN	1.38	2.07	1.30	6.6	4.4	7.0
PNN.LN	M	GBp	531.50	550.00	(18.0)%	GBP	(0.10)	0.29	0.37	(53.4)	18.2	14.4
RED.SQ	O	EUR	15.27	18.15	(42.8)%	EUR	0.94	0.93	0.95	16.3	16.4	16.1
RENE.PL	O	EUR	3.25	3.70	7.9%	EUR	0.17	0.17	0.19	18.7	19.6	17.6
SLR.SQ	M	EUR	18.20	9.00	85.6%	EUR	0.53	0.61	1.05	34.1	30.0	17.3
SRG.IM	M	EUR	5.65	5.80	(4.2)%	EUR	0.38	0.41	0.40	14.9	13.8	14.0
SVT.LN	O	GBp	2,813.00	3,200.00	(22.0)%	GBP	1.12	1.72	2.13	25.1	16.3	13.2
TRN.IM	O	EUR	9.08	10.00	(16.8)%	EUR	0.50	0.50	0.50	18.3	18.0	18.3
UU/.LN	O	GBp	1,206.00	1,360.00	(19.6)%	GBP	0.50	1.06	1.36	24.3	11.4	8.8
VER.AV	U	EUR	62.30	56.40	(47.4)%	EUR	5.69	4.20	3.35	11.0	14.8	18.6
VIE.FP	O	EUR	30.14	38.00	(23.4)%	EUR	2.13	2.29	2.51	14.2	13.2	12.0
EDM			1,606.19									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

MTLN.LN estimate is Reported EPS; NG/.LN, SSE.LN, PNN.LN, SVT.LN, UU/.LN base year is 2025;

Source: Bloomberg, Bernstein estimates and analysis.

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